

times since it listed in July 2021. “A vertical that can take Zomato on the path to profitability is its recent acquisition, Blinkit, apart from Hyperpure,” says Karan Taurani, Senior Vice President of Elara Capital. Hyperpure is also a grocery delivery service, but it is restricted to the B2B space. Tata-owned bigbasket, which runs bbnw, also has the financial heft and network of the salt-to-software conglomerate, the Tata group, to fall back on. bigbasket is believed to have nearly 200 dark stores.

With the opportunity so large, quick commerce players are moving quickly to gain heft. “We believe we have only scratched the surface in quick commerce grocery,” says Swiggy’s spokesperson. “As category creators, we will continue to invest in growing the category with

a focus on offering convenience and other key things like selection, availability, and reliable and fast deliveries which consumers look for.”

Blinkit is working on increasing its reach with more and more dark stores, while at the same time also attempting to provide faster delivery at a lower cost. Says a company spokesperson: “We will continue adding categories and geographies that will make sense to our business while working on the P&L simultaneously to ensure healthy unit economics.”

Zepto has big plans, too. “We plan to multiply dark stores. If we stop opening new dark stores, we would be profitable in 2024, but we will not stop. We plan to open more stores and expand our delivery network. So, profitability is still afar. The ultimate goal is to be a publicly listed

company, so we would be working towards that,” says Palicha.

With so much action, Bhattacharya expects consolidation to swing in at some point. “Consolidation is very likely as the growth phase involves cash burn and some players may find it difficult to sustain,” he says. “However, the segment is likely to witness increasing momentum as consumers get hooked on quick commerce. The definition of quick commerce may get relaxed to hours rather than minutes, providing some buoyancy to profitability.”

Whichever way the pendulum swings, one thing is clear: with quick commerce scaling up like never before, the network of dark stores in India is only likely to get bigger. **BT**

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